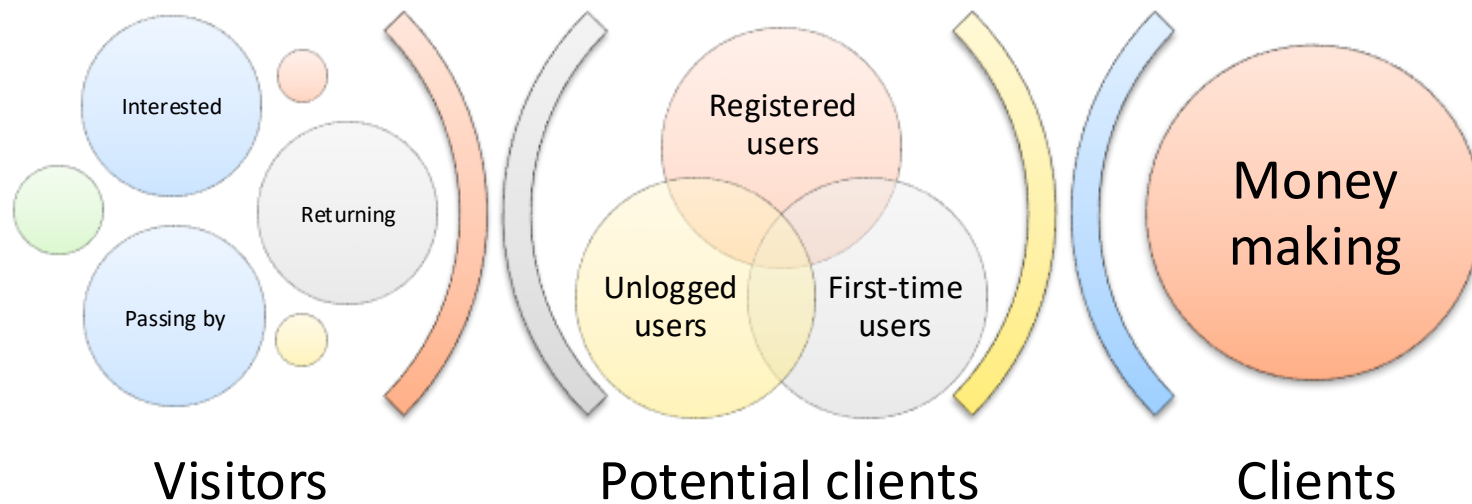




WIESŁAW PIETRUSZKIEWICZ

CUSTOMERS

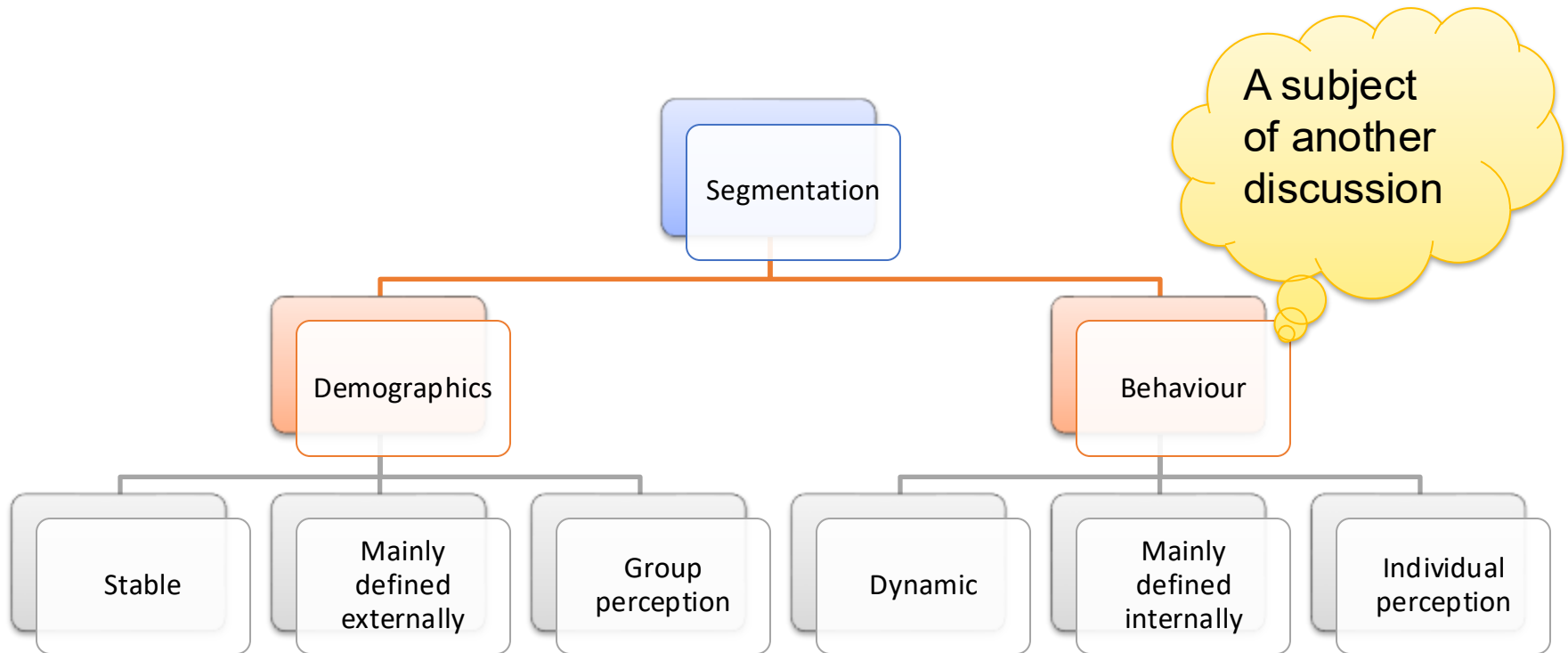
Customer – Roles



Market segmentation

- Segmentation – process of dividing customers into sub-groups based on shared characteristics
- Allows one to understand their needs and properly address it
- Segmentation is based on observations and measures
- Observations and measures are easy to obtain in e-commerce

Identification of users



E-commerce and Online Marketing Technologies

Age groups

Generation	Birth years	Characteristics	Shopping preferences	Buying behaviour
Silent Generation	1928-1945	Generally, more traditional, less tech-savvy	Value quality, reliability, and personal service	Prefer in-person shopping but are increasingly using online options for convenience
Baby Boomers	1946-1964	More traditional, increasingly tech-savvy	Value customer service, product quality	Research products thoroughly, appreciate discounts
Generation X	1965-1980	Tech-savvy, value face-to-face interactions	Appreciate convenience and efficiency	Compare prices, read reviews, responsive to email marketing
Millennials	1981-1996	Digital natives, engaged with social media	Value experiences, sustainability, authenticity	Influenced by social media, shop on mobile devices, appreciate personalized marketing
Generation Z	1997-2012	True digital natives, adept with technology	Seek authenticity, inclusivity, social responsibility	Quick purchasing decisions, influenced by trends and peers, expect seamless online experiences

Customers and business perception of e-commerce

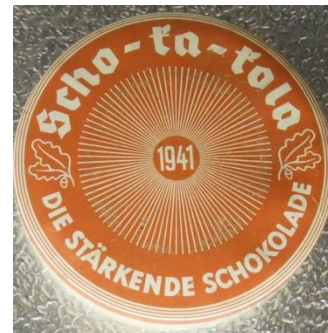
Customers – Domicile

- Domicile is important as predefines users:
 - Needs
 - Wealth
 - Behaviour
 - Availability of technologies
 - Methods of payments
 - Methods of shipment



Effect of ideology on shopping patterns

- A set of ideas defining many aspects of life including shopping behaviour
- For selected goods it could be:
 - Stimulative
 - Dissimulative
 - Shifting purchases towards other goods



Cruelty Free
INTERNATIONAL

Ideology – Opportunity vs Threat

- In some cases, ideologically-based limitations define range of the traded articles
- Could be an economical threat – range of items to be sold is reduced
- Or an opportunity – effecting branding, attracting selected customers



E-commerce as an economical chance

Panama hats - Ecuador



Chocolate – Ivory Coast



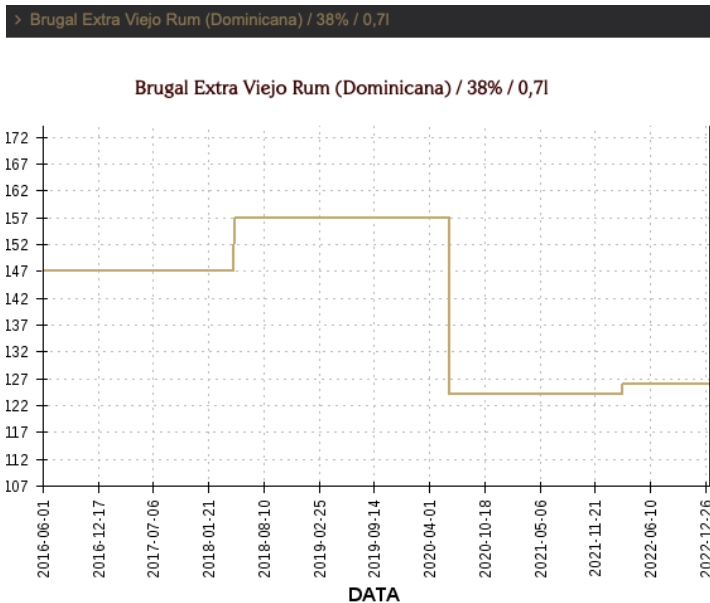
Tea – Sri Lanka

MINAH
TEA EXPORTS
(PVT) LTD



Khukuri – Nepal

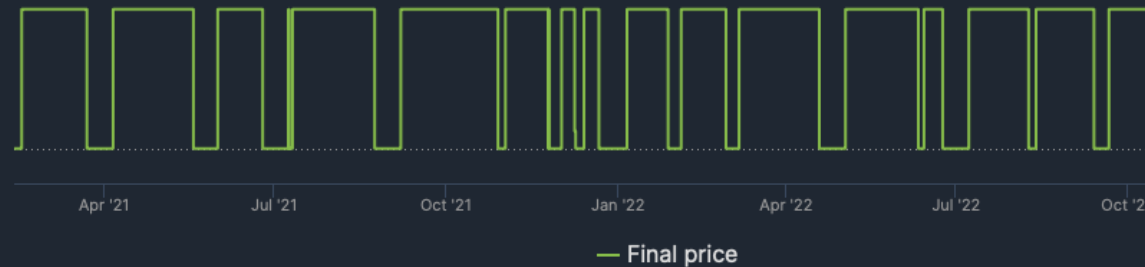
Burgin hunting



Price history

Due to constant scraping, price history is limited to two years. [You can sign in to view full data for free.](#)

Zoom **6m** 1y 2y 3y 6y all



Click on a currency name to load price history for that particular currency.

Buy The Witcher 3: Wild Hunt on Steam



You are Geralt of Rivia, mercenary monster slayer. Before you stands a war-torn, monster-infested continent to explore at will. Your current contract? Tracking down Ciri — the Child of Prophecy, a living weapon that will shape the world.

99,99zł

Omnibus directive

- Changes to consumer protection directives
- The Unfair Commercial Practices Directive (2005/29/EC)
- The Unfair Contract Terms Directive (93/13/EEC)
- The Consumer Rights Directive (2011/83/EU)
- The Price Indications Directive (98/6/EC)
- Main idea – to strengthen the consumer rights
- Inform about prior price if it was reduced
- Inform if price is personalised
- Inform about trading status of a third party on a marketplace (if a contract is to be protected by consumer protection law)

Omnibus in action

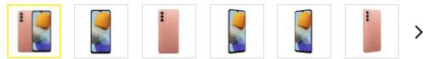
Strona główna > Smartfony i zegarki > Smartfony > Smartfon SAMSUNG Galaxy M23 4/128GB 5G 6.6"

Smartfon SAMSUNG Galaxy M23 4/128GB 5G 6.6" 120Hz Różowy
SM-M236

★★★★★ (13) Kod: 462337



Najedź kursorem, aby przybliżyć



WEJŚĆ DO STREFY
SAMSUNG GALAXY

Ochrona 3 urządzeń
za 29,99 zł

50 zł za wydane
500 zł

Do 200 zł rabatu
na słuchawki

Wyświetlacz: 6.6", 2408 x 1080px, TFT

Pamięć RAM: 4 GB

Pamięć wbudowana [GB]: 128

Pojemność akumulatora [mAh]: 5000

Procesor: Qualcomm Snapdragon 750G, Ośmiordzeniowy

Aparat: Tyłny 50 Mpx + 8 Mpx + 5 Mpx, Przedni 8 Mpx

Komunikacja: 5G, Wi-Fi, NFC, Bluetooth 5.0, USB typ C

Wersja systemu: Android 12

ZOBACZ CAŁY OPIS ↓

Dostępne warianty

Kolor: Różowy



Różowy Niebieski Zielony

Zobacz wszystkie 3 warianty >

Dodatkowe usługi zabezpieczenia ekranu:

☐ Folia ochronna

SAMSUNG

Dostawa jutro

Zamów przez:

00 : 21 : 15
godz. min. sek.

Cena z kodem WYPRZEDAŻ-1

999⁰⁰ zł

Cena z kodem obowiązuje do 12.01.2023 r. do godz. 23:59

Cena regularna

1 299⁹⁹ zł

21,66 zł x 60 rat 0% RRSO

Sprawdź leasing dla firm

Najniższa cena z 30 dni przed

939,99 zł

U Ciebie jutro

W sklepie jutro ZAREZERWUJ

Dostępność w sklepie

Darmowa dostawa

DO KOSZYKA

lub zamów telefonicznie

756 756 753

InPost Dostawa 7 dni w tygodniu

Cena z kodem WYPRZEDAŻ-1

999⁰⁰ zł

Cena z kodem obowiązuje do 12.01.2023 r. do godz. 23:59

Cena regularna

1 299⁹⁹ zł

21,66 zł x 60 rat 0% RRSO

Sprawdź leasing dla firm

Najniższa cena z 30 dni przed obniżką:

939,99 zł

Selected types of EC customers – Strategies

High Spenders

- Offer personalized communication and exclusive offers.
- Create a VIP loyalty program with rewards and early access to sales.
- Provide dedicated customer support or account managers.

Cart Abandoners

- Send automated abandoned cart emails with reminders and incentives.
- Simplify the checkout process to reduce friction.
- Offer limited-time discounts to encourage completion of the purchase.

Frequent Returners

- Analyse return reasons and improve product descriptions and sizing guides.
- Provide exceptional customer service to address concerns.
- Implement a loyalty program that rewards keeping items.

Coupon Lovers

- Create a loyalty program that rewards repeat purchases.
- Offer exclusive coupons and time-limited promotions.
- Educate customers on the value of products beyond discounts.

Selected types of EC customers – Strategies

One-Timers

- Follow up with personalized thank-you emails and offers for their next purchase.
- Provide incentives for repeat purchases, such as discounts or free shipping.
- Engage them with content marketing to keep your brand top-of-mind.

Indecisive Shoppers

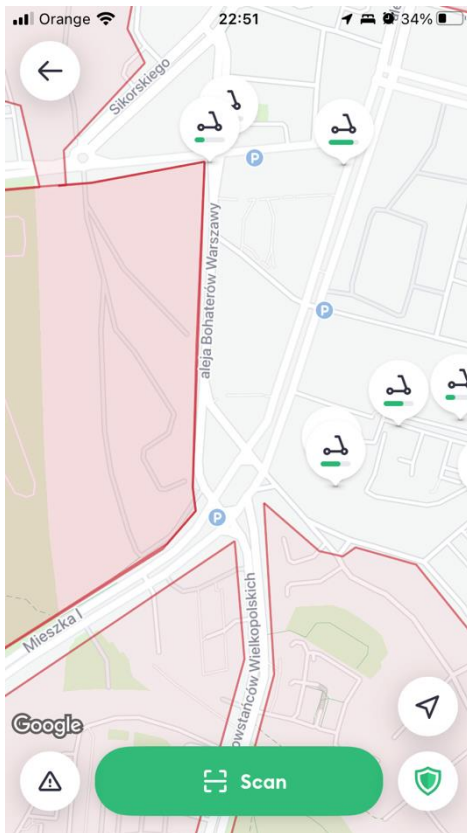
- Provide detailed product information and comparison tools.
- Offer live chat support for real-time assistance.
- Send follow-up emails with personalized recommendations based on browsing history.

Curious Browsers

- Create engaging content, such as blogs and videos, related to your products.
- Utilize retargeting ads to remind them of products they viewed.
- Encourage email sign-ups with incentives for exclusive content or discounts.

New customers – New economy

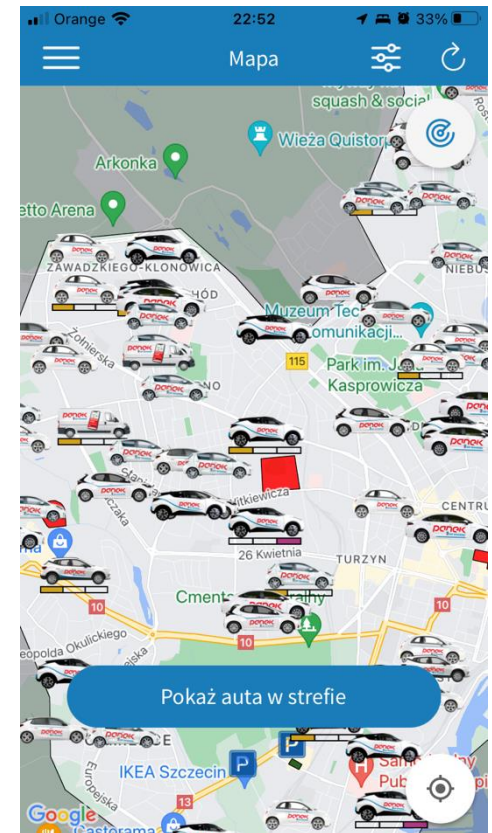
Bolt



Sharing economy

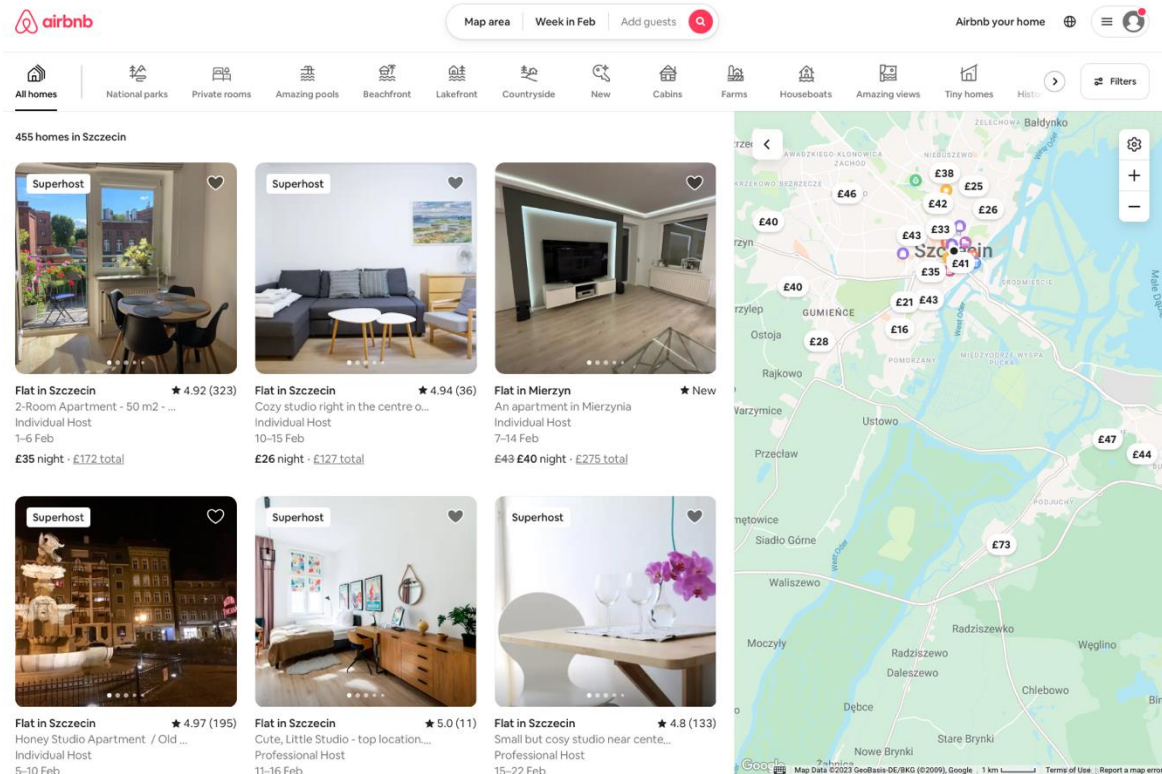
- Resources are shared
- Idea – you don't buy a cow to drink a glass of milk
- Solution – use resources (non-profit or commercial) provided when needed
- E-commerce constitutes a efficient framework for such usage
- Common for transportation

Panek



Prosumers

- Prosumer – consumer + producer
- Prosumer creates value
- E-commerce allows one to become prosumer easier e.g. via platform to sell or share (Airbnb provided as an example)



Frank – A value of users

- Frank founded in 2016 as a fin-tech start-up to help student's application for *Free Application for Federal Student Aid* (United States)
- Acquired in 2021 by JPMorgan Chase for \$175M – 4.25 million customers
- JPMorgan in 2022 sued its founder (Charlie Javice) + other executive for fraud – service had less than 300 thousand real users
- Closed in 2023

Customer Acquisition Cost (CAC)

- CAC is the total cost associated with acquiring a new customer. It includes marketing expenses (advertising, promotions, content creation), sales costs, and any other resources spent to attract and convert a customer.
- Knowing your CAC helps you understand how much you can afford to spend on marketing and sales efforts while still maintaining profitability.

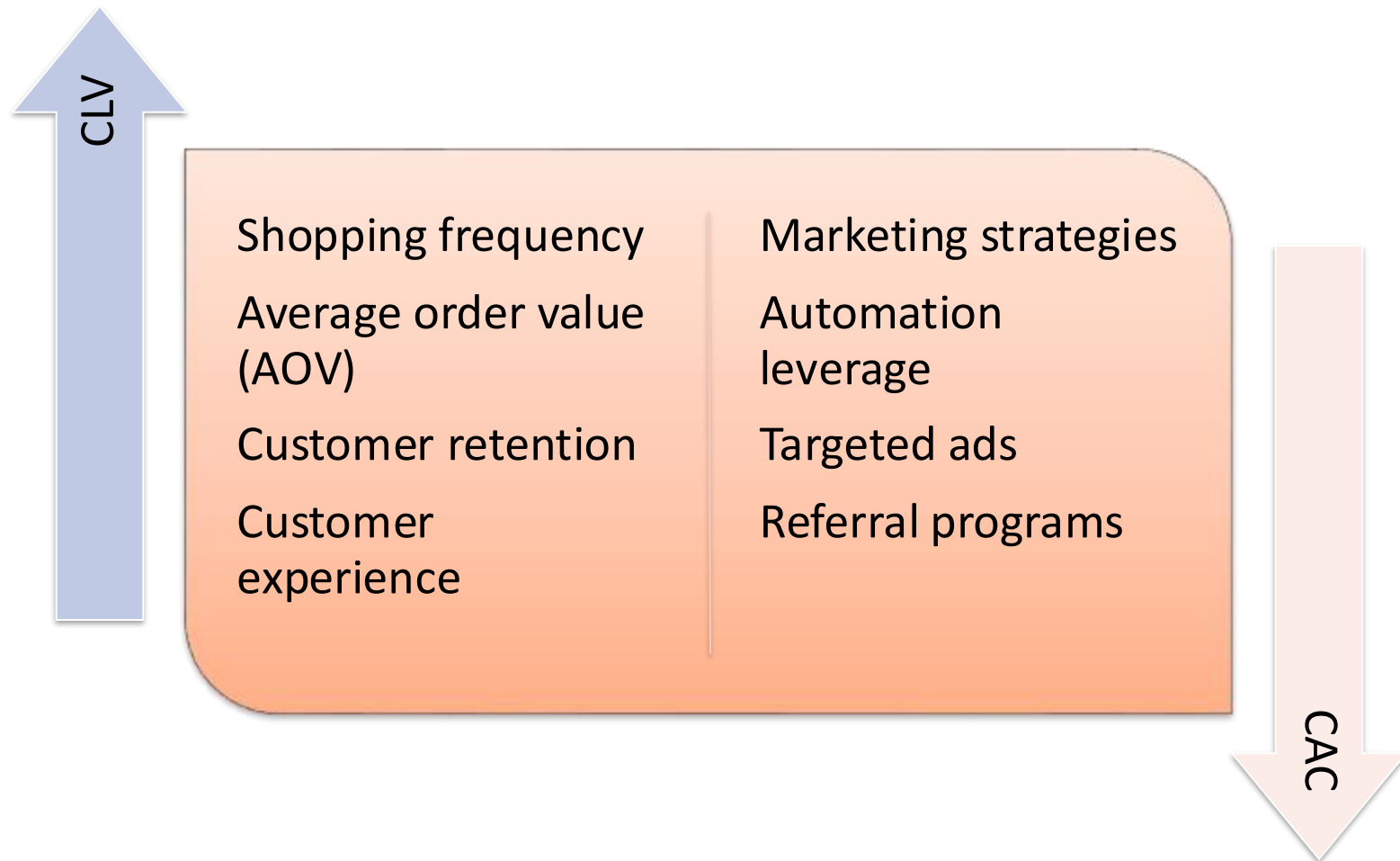
Customer Lifetime Value (CLV/LTV)

- CLV is the total revenue a business can expect from a single customer account throughout the business relationship. It considers the average purchase value, purchase frequency, and customer retention duration.
- CLV determines how much one can invest in acquiring customers. A higher CLV justifies a higher CAC, as the long-term returns will outweigh the initial acquisition costs.

CAC&CLV – Right balance

- A common benchmark is to aim for CLV:CAC ratio at least equal to 3:1. However, this threshold might vary across industries.
- If CAC is too high relative to CLV, businesses may need to reassess their marketing strategies, focusing on more cost-effective channels or improving conversion rates to lower acquisition costs.

CLV:CAC optimisation



Customer retention

- Retaining existing customers is often more cost-effective than acquiring new ones. Implementing loyalty programs, personalized marketing, and excellent customer service can enhance retention rates.
- Higher retention rates can increase CLV, justifying higher CAC. Satisfied customers are more likely to refer others, reducing the need for costly acquisition efforts.

Decision bias

- A systematic tendency to deviate from rationality or objective judgment in decision-making.
- Due to cognitive shortcuts, emotional influences, or social factors leading to make choices that are not based on accurate information or logical reasoning, often resulting in flawed or suboptimal outcomes.



Decision bias in e-commerce #1

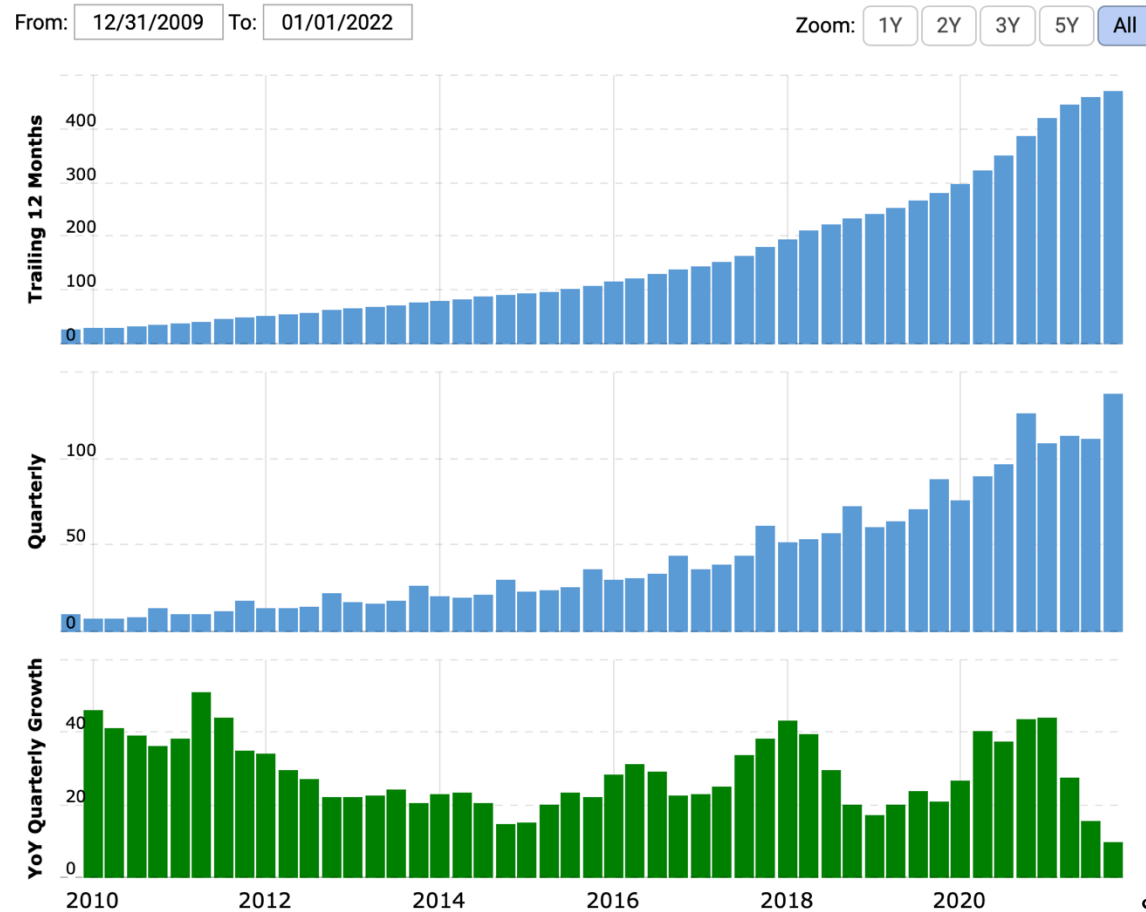
Decision bias	Definition	Application	Impact
Anchoring Bias	Relying heavily on the first piece of information encountered.	Displaying original prices next to discounted prices.	Increases perceived value of discounts, encouraging purchases.
Scarcity Bias	Perceiving limited availability as more desirable.	Using phrases like "Only 2 left!" or "Limited time offer!"	Creates urgency, prompting quicker purchasing decisions.
Social Proof	Following the actions of others in uncertain situations.	Showcasing customer reviews, ratings, and testimonials.	Builds trust and influences potential buyers to make purchases.
Loss Aversion	Preferring to avoid losses over acquiring equivalent gains.	Highlighting what customers might lose by not purchasing.	Motivates customers to buy to avoid missing out.
Confirmation Bias	Searching for information that confirms pre-existing beliefs.	Providing tailored recommendations based on past purchases.	Reinforces preferences, encouraging further purchases.

Decision bias in e-commerce #2

Decision bias	Definition	Application	Impact
Overconfidence Bias	Overestimating knowledge or ability to make informed decisions.	Offering detailed product information and expert reviews.	Increases customer confidence in their purchasing decisions.
Herd Behavior	Mimicking the actions of a larger group.	Showcasing best-selling or trending products.	Encourages customers to follow the crowd and make purchases.
Decoy Effect	The presence of a third option influences preferences between two others.	Offering a less attractive product alongside two similar options.	Guides customers toward a higher-priced purchase.
Framing Effect	The presentation of information affects decisions and judgments.	Presenting products as "90% fat-free" instead of "10% fat."	Alters perceptions, increasing the likelihood of purchase.
Endowment Effect	Assigning more value to things merely because they own them.	Allowing customers to add items to a wishlist or cart.	Creates a sense of ownership, increasing the likelihood of purchase.

BUSINESS PERCEPTION OF E-COMMERCE

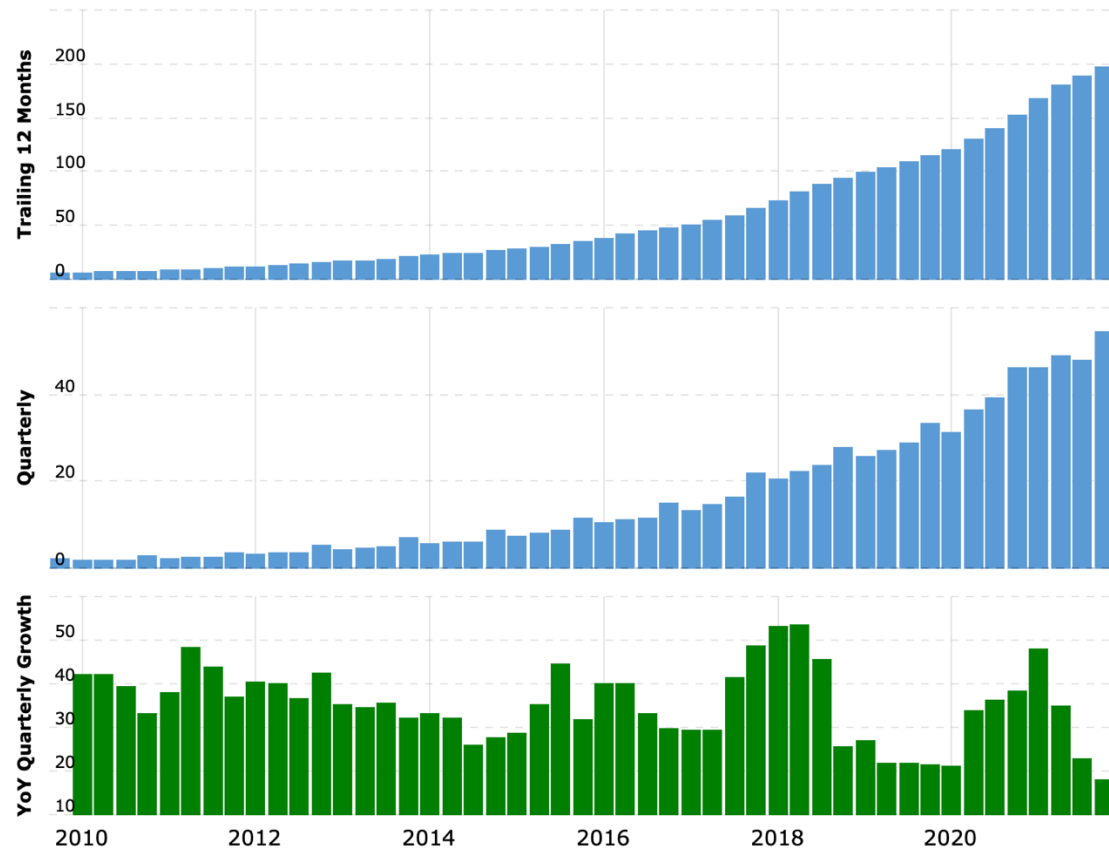
Financials #1 – Amazon (Revenue in B \$)



Financials #2 – Amazon (Gross Profit in B \$)

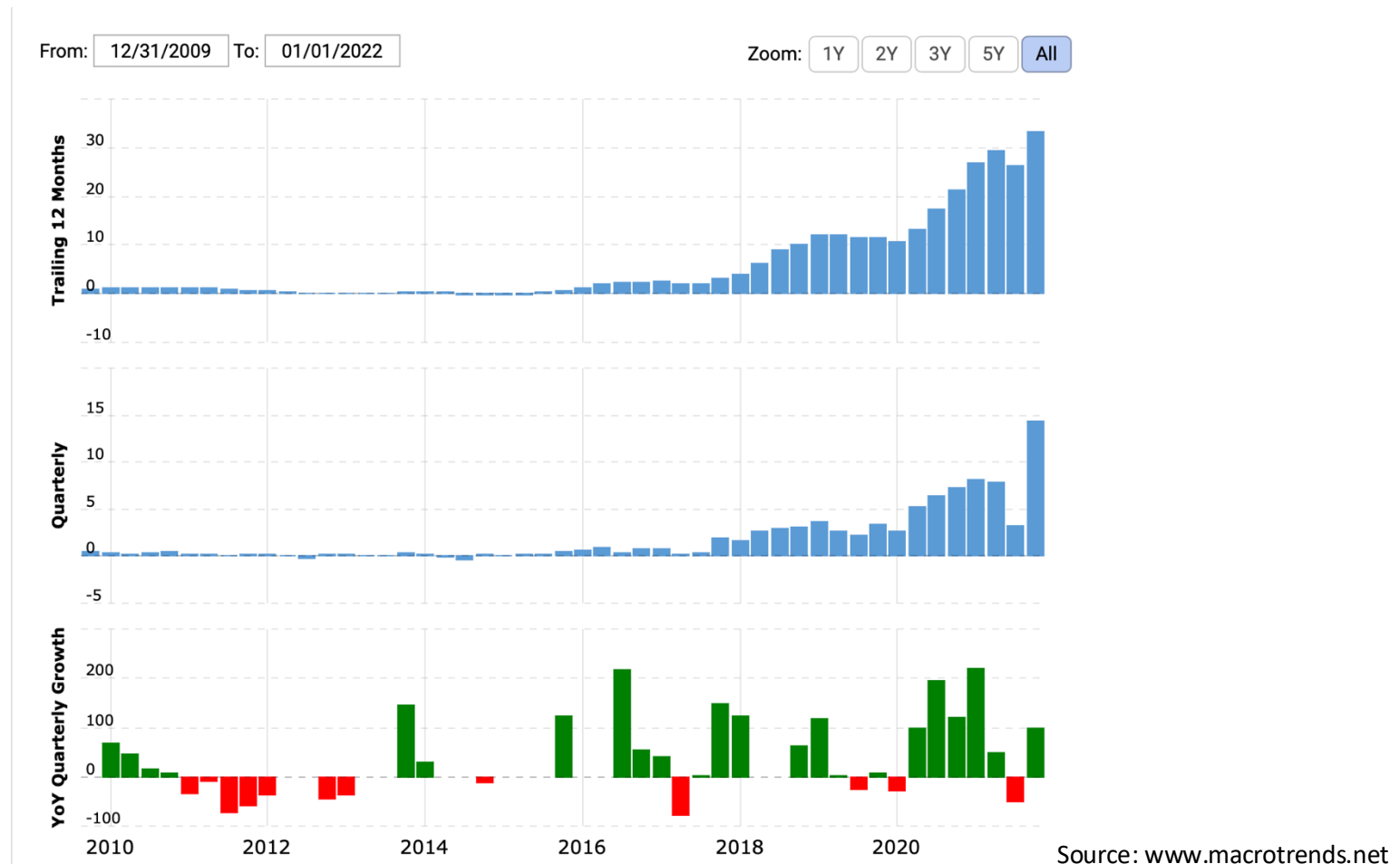
From: 12/31/2009 To: 01/01/2022

Zoom: 1Y 2Y 3Y 5Y All

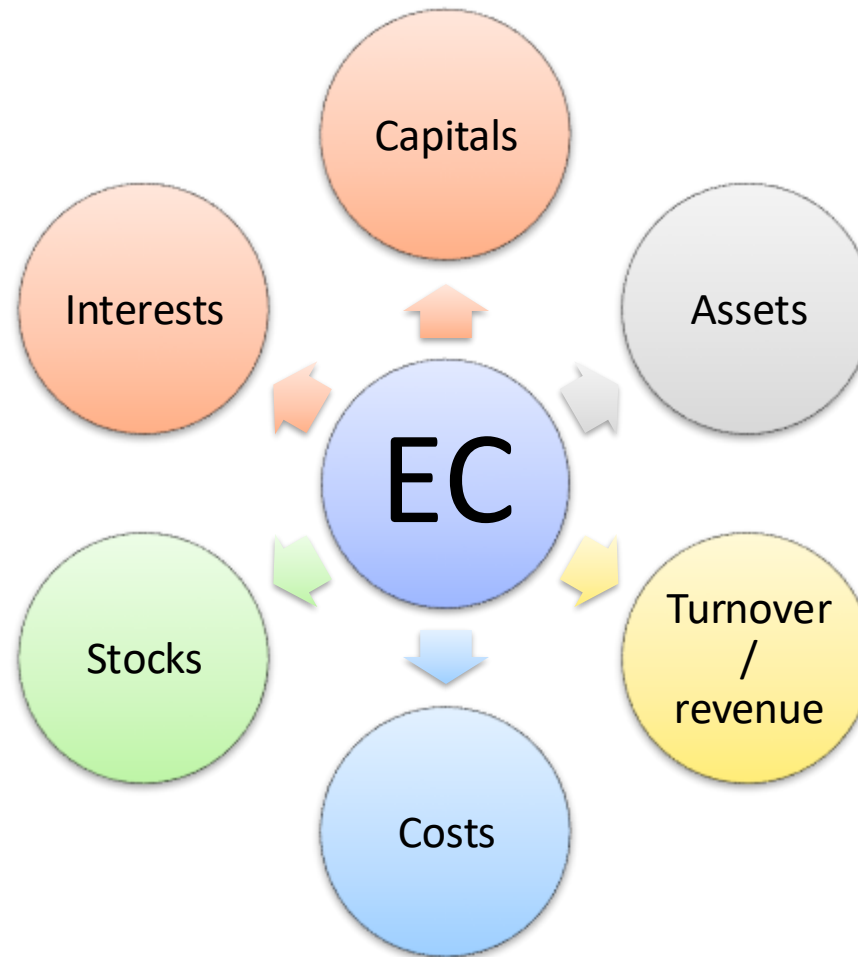


Source: www.macrotrends.net

Financials #3 – Amazon (Profit in B \$)



Why e-commerce companies are different?



Capitals & Assets

- Capital - used to finance the entity's activities
- Due to the nature of e-commerce it is possible to reduce demand for capitals
- For starting companies the most important is intellectual capital (not accounted)
- Assets – all the owned item used to operate the company
- Selected types of assets can be reduced for EC
- No fancy buildings
- No fancy cars
- No fancy equipment

Turnover/revenue & Costs

- Money generated by the sales of goods or services
- Used to pay the expenses, and to make a profit at the end
- In EC – potential new sale possibilities (new goods and new clients), not available otherwise
- Costs relate to various expenses to be paid
- In EC costs can be lowered by e.g.:
 - Relocation
 - Reduction of assets
 - Substitution of assets (e.g. Amazon's desks)

Stocks & Interests

- Stocks – merchandise kept on the premises for sale
- Stocks can be limited (client don't buy on spot)
- Stocks can be removed (other companies provide items we sell)
- Stocks – sales buffer, but generate costs
- Interests are paid for capital borrowed
- Interest can be earned for capital in possession
- If there is a delay between the moments when money was received and has to be paid, we can invest it
- Common practice of large EC players

Liquidation of stocks

E-commerce

Too good to go exemplary package



Brick-and-mortar trading

Black Friday sales



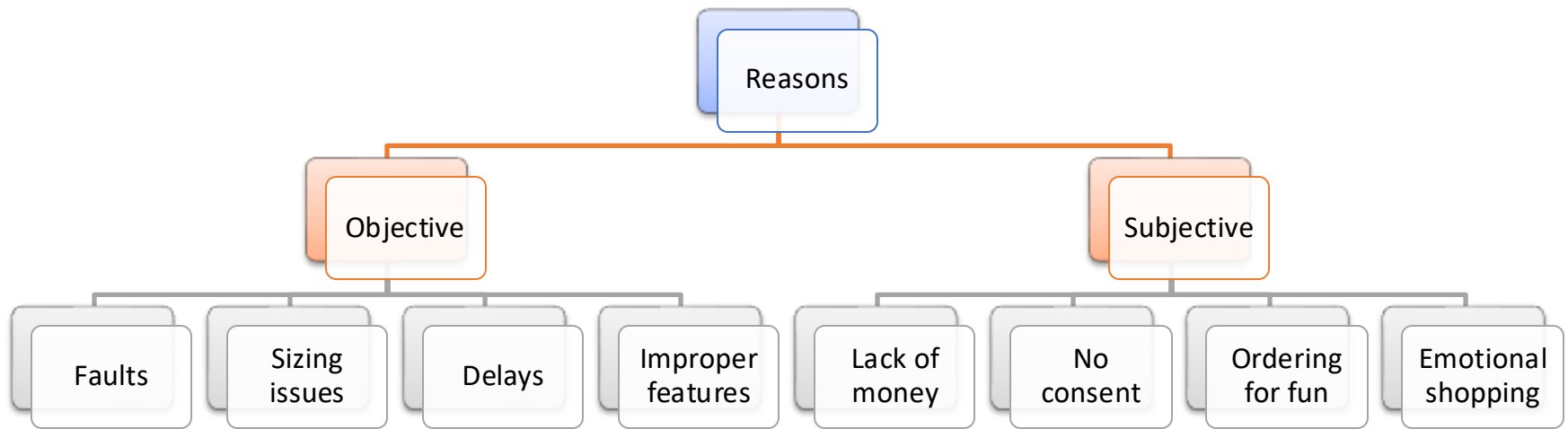
Customers and business perception of e-commerce

Returns in e-commerce

- Costs of shipment and labour
- Damaged items
- Used items
- Moral depreciation for some items
- Reverse logistics (inbound flow) disturbing the main outbound flow
- Restocking fee (if possible)
- May be rejected for individually delivered items

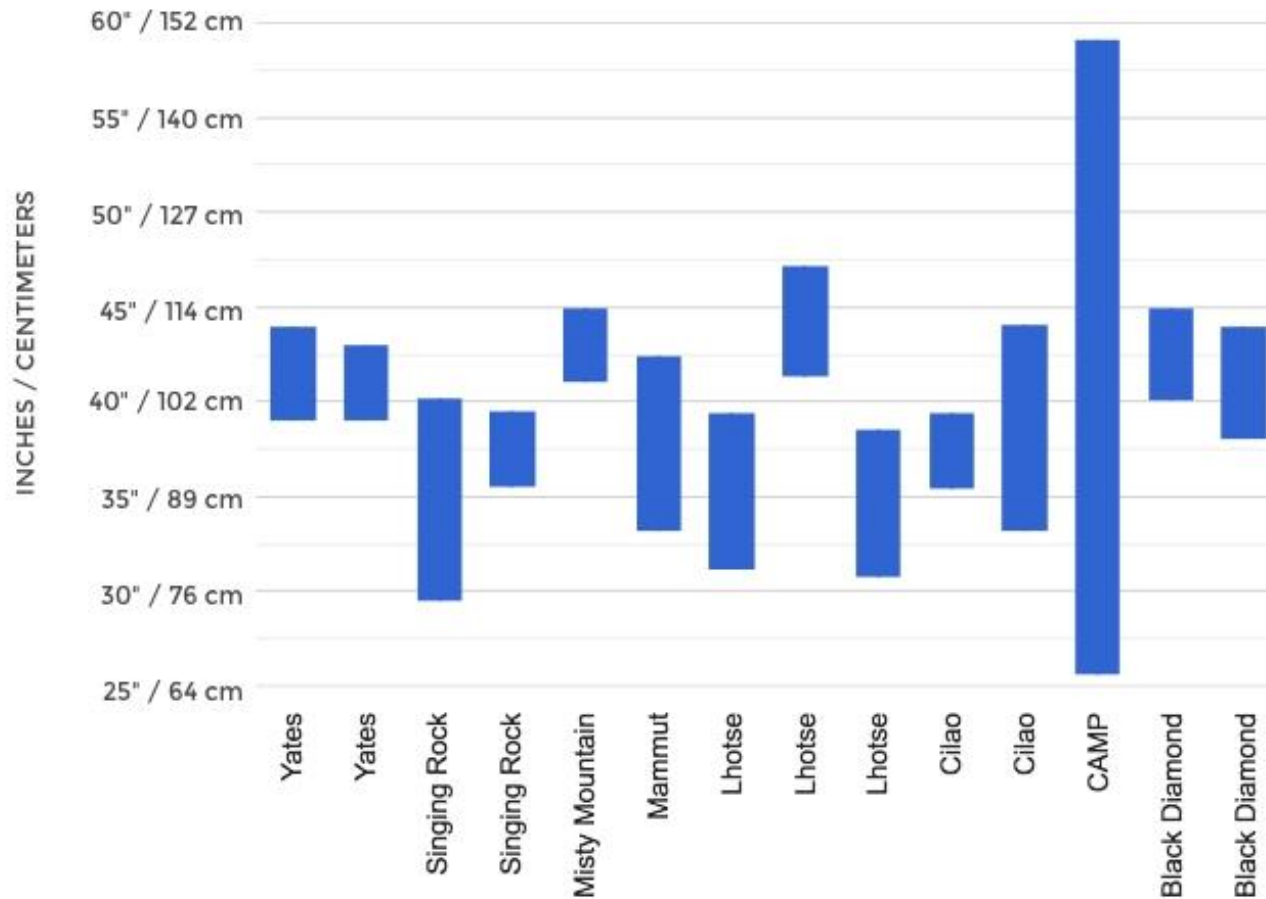


Returns – Selected reasons



Sizing issues – Example

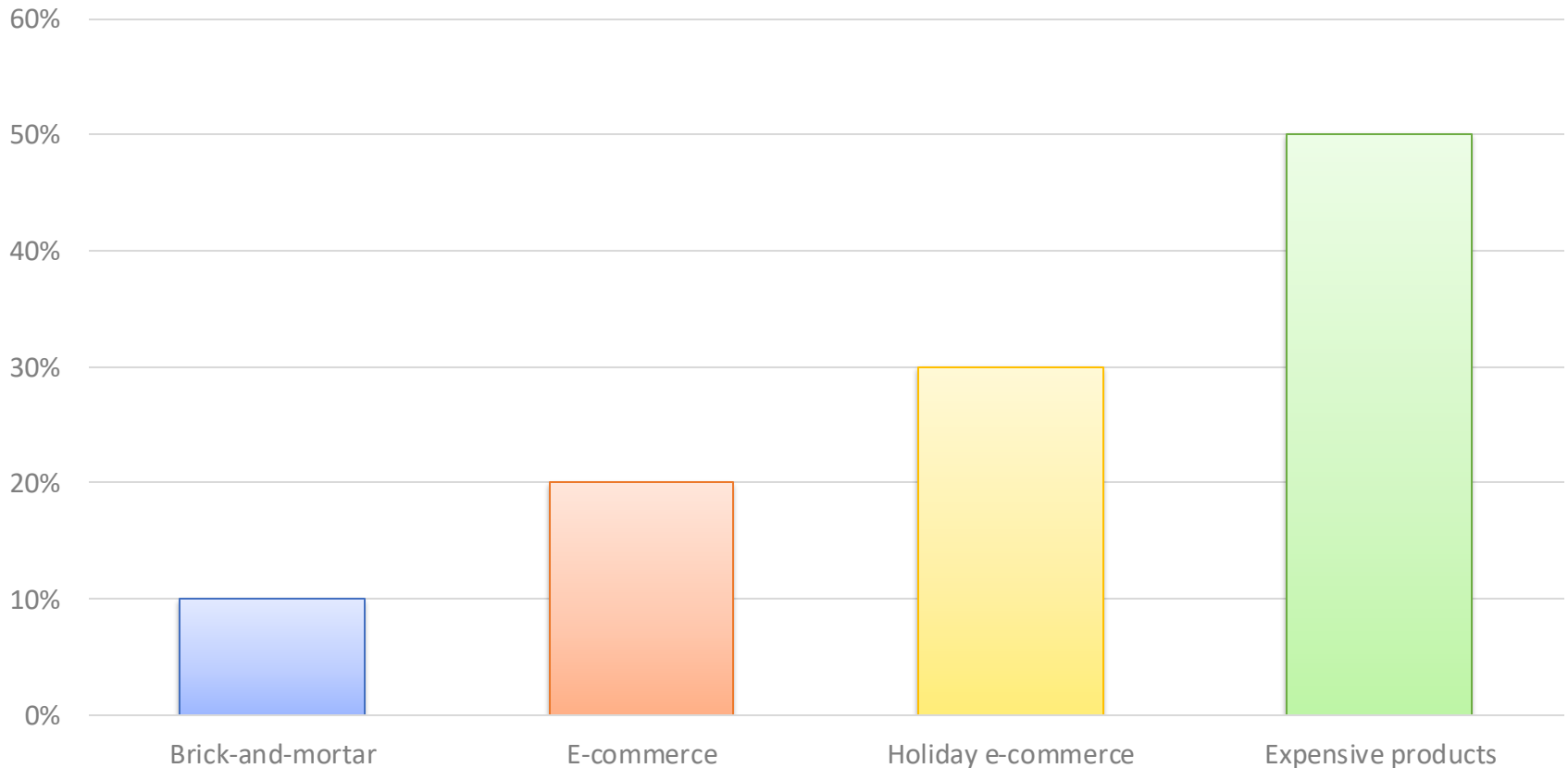
Climbing harnesses (size XL) Source: weightmyrack.com



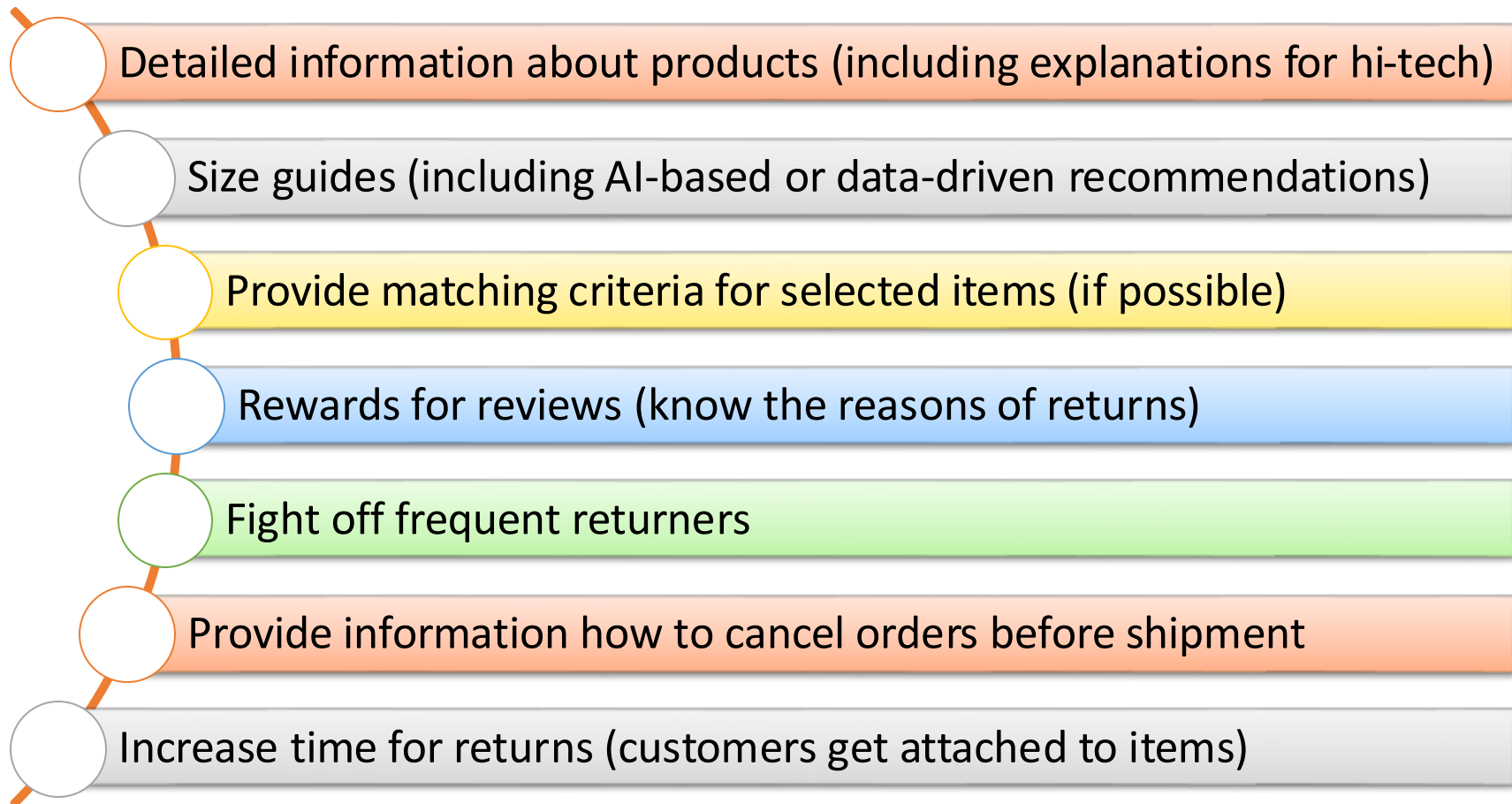
Returns of numbers

Source: HubSpot

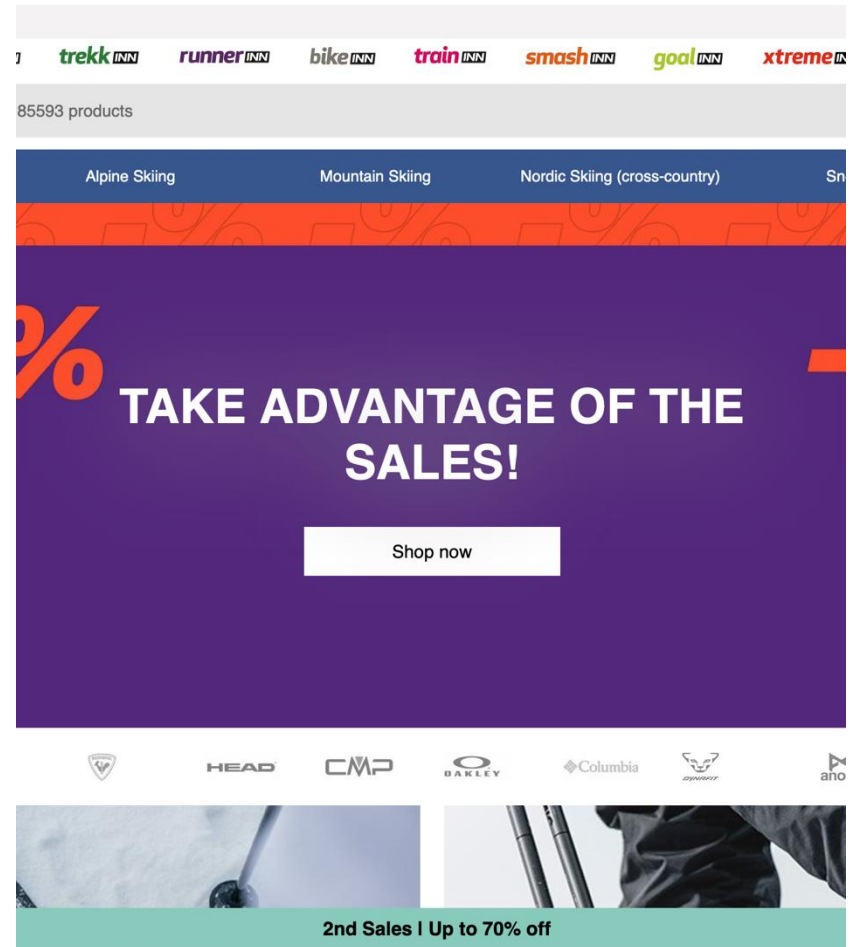
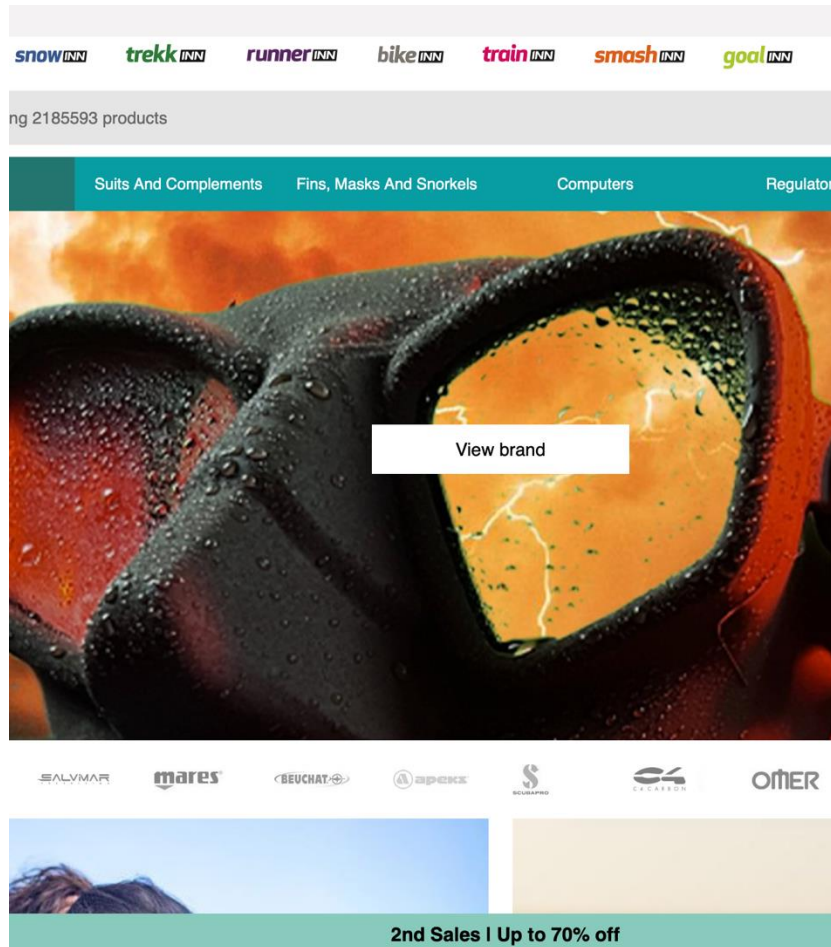
Rate of Returns



Returns countermeasures



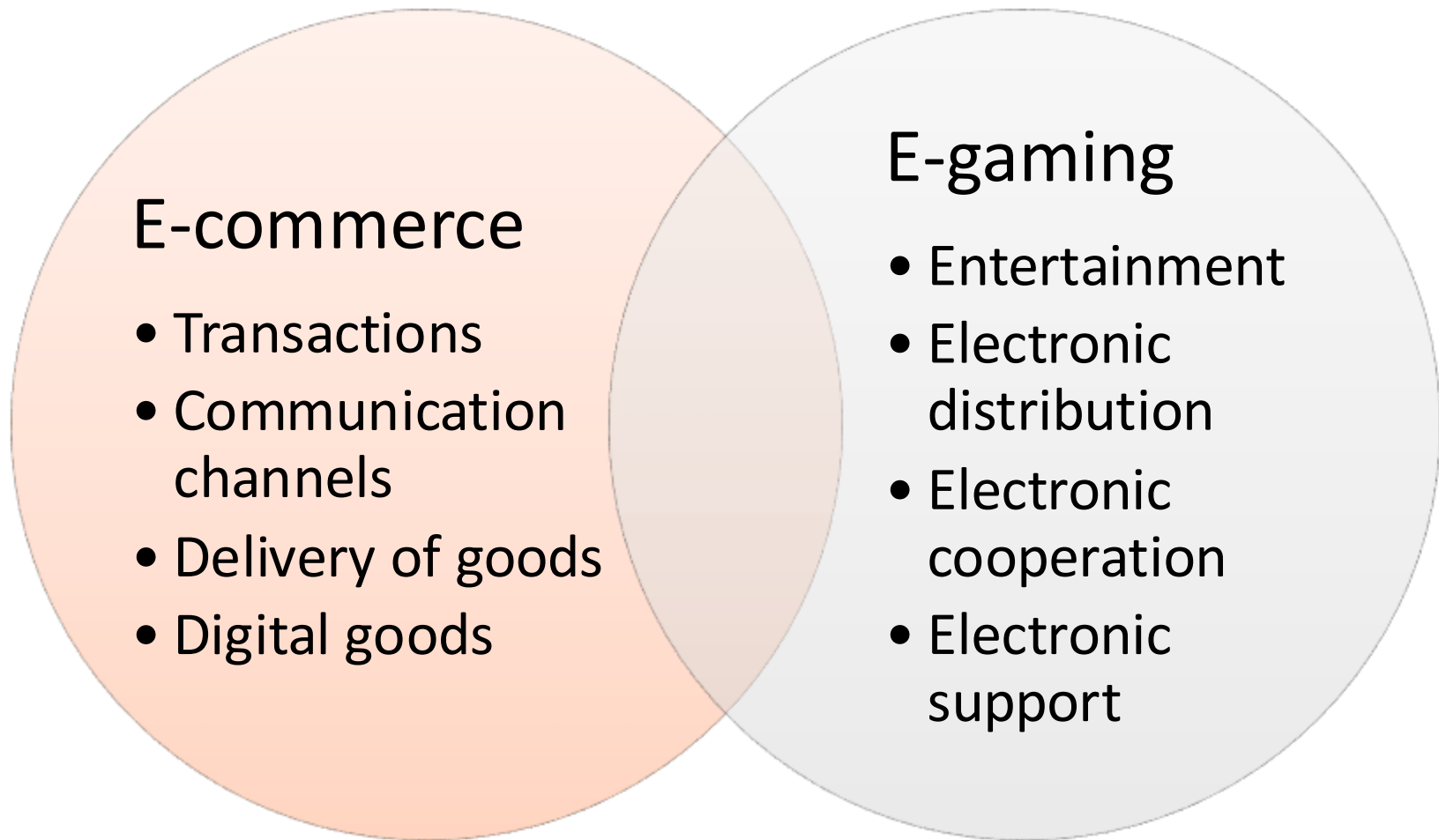
Specialisation in e-commerce



If you see no risk
Past top-tier IT companies



Relation of e-commerce and e-gaming



E-gaming in a nutshell (EC standpoint)

- Online gaming can happen in a form of:
 - Desktop apps (sold via EC channels)
 - Browser-based apps (typical EC)
 - Mobile (TV) apps (typical MC)
- The relation does not end at the time of purchase, and many other items can be supplied by e-commerce channels)
- The growth of e-gamming = The growth of E-commerce possibilities

Micropayments



Cut the Rope 4+

Evergreen puzzle

ZeptoLab UK Limited

#114 in Puzzle

★★★★★ 4.9 • 165 Ratings

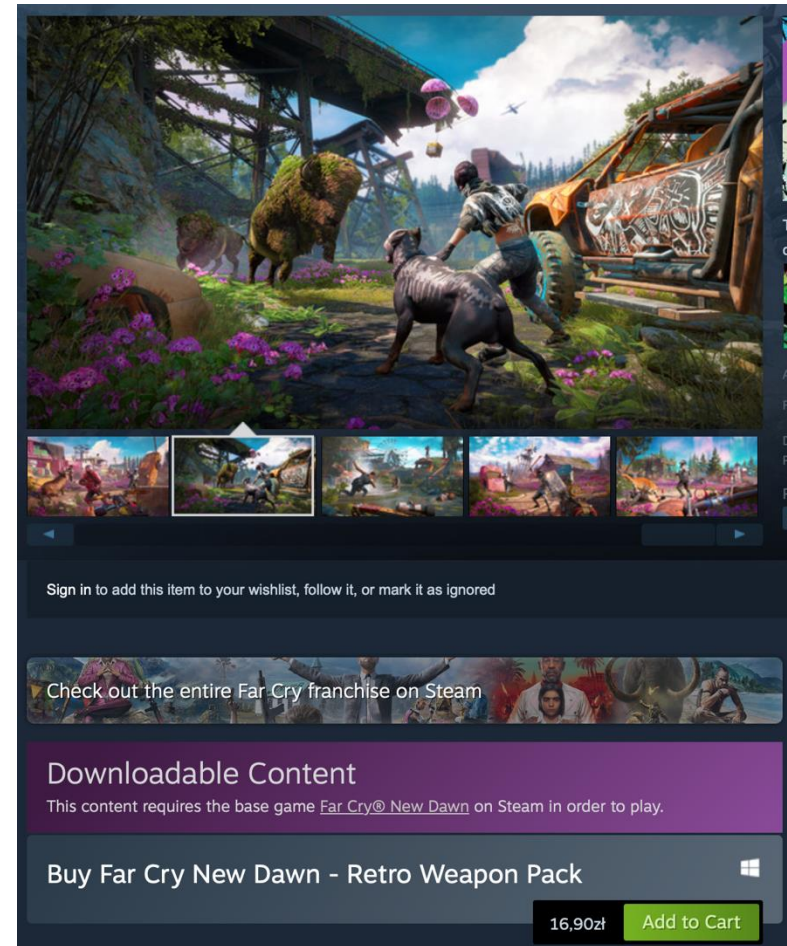
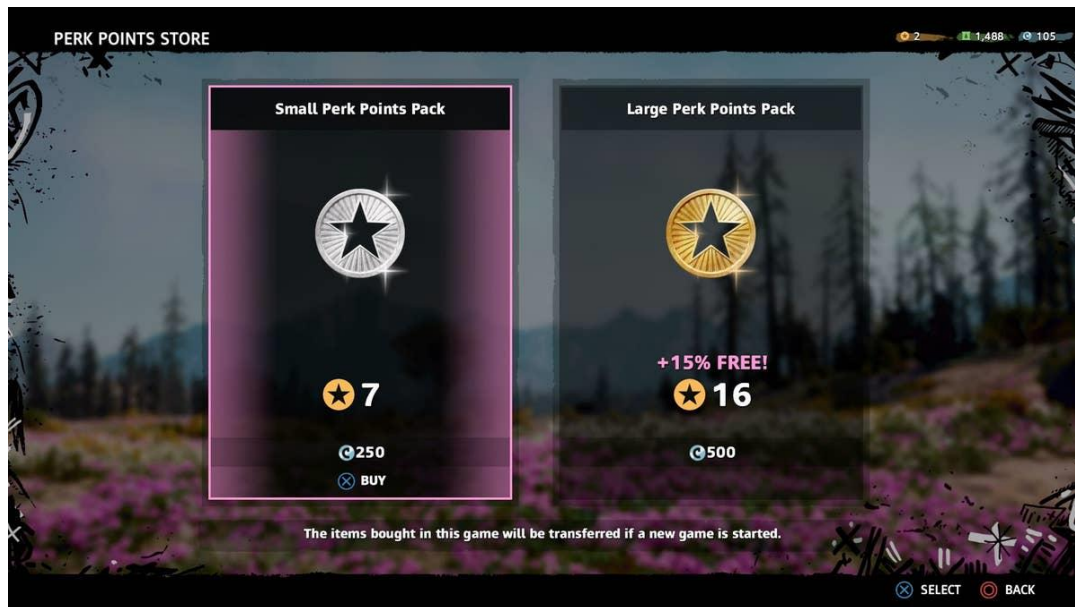
Free · Offers In-App Purchases

Price
Free

In-App Purchases

1. VIP Membership	9,99 €
2. Value pack!	3,49 €
3. Unlock 2nd Season	6,99 €
4. Unlock 3rd Season	5,99 €
5. Disable Ads	0,49 €
6. Magnets Grande Pack	7,99 €
7. Magnets Unlimited	17,99 €
8. Solutions Tiny Pack	3,49 €
9. Solutions Unlimited	35,99 €
10. Halloween Treat	3,49 €

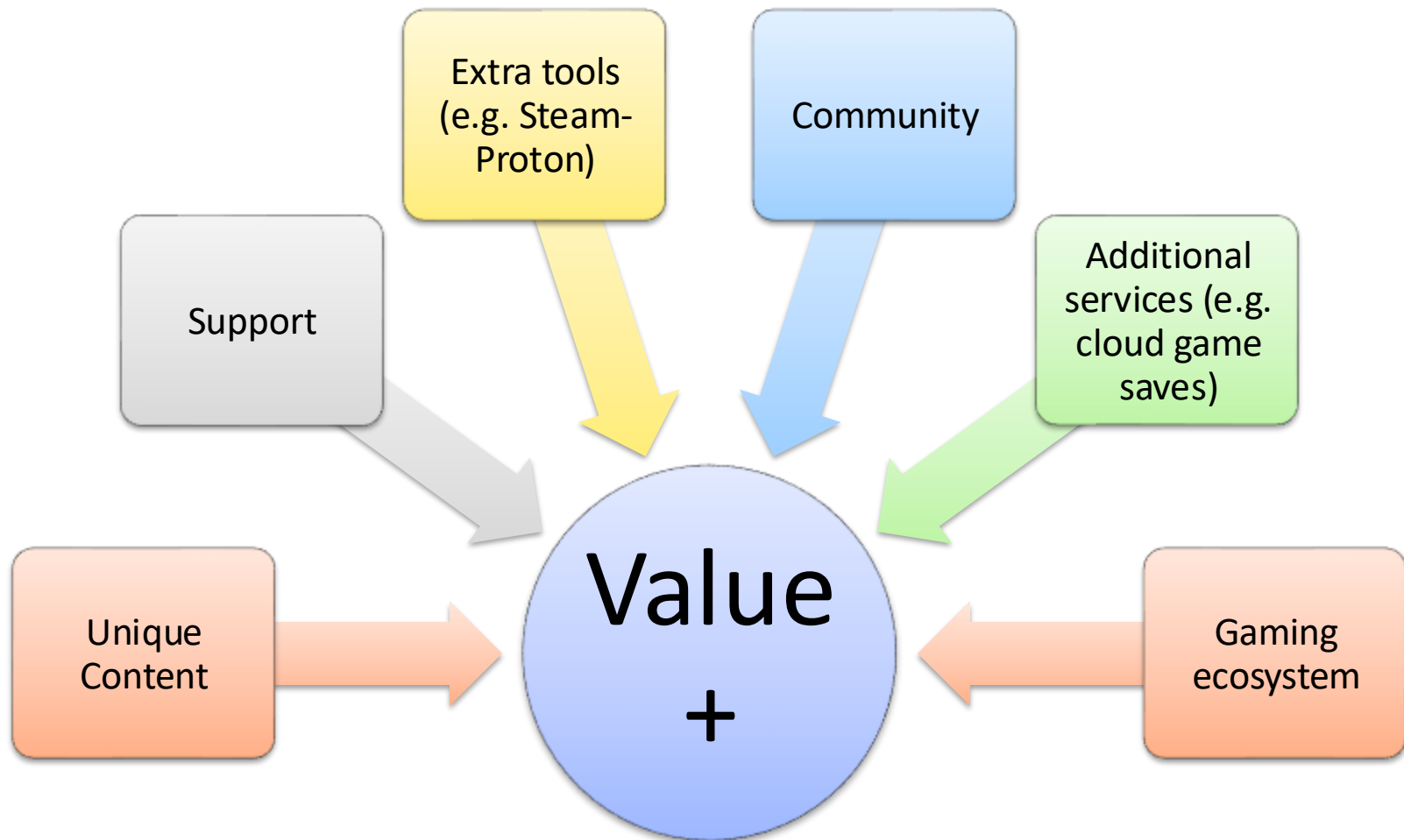
Hybrid payment models



From a licence fee to a paid service

- In the past software was distributed to be locally installed – payment was for a license (usually one-time)
- Currently software made to be accessible via Internet – perpetual payment for a service
- Single payment for service $\ll$ Licence
- Sum of payments for service $>$ Licence

Value added to games through service



Sony intention to pull Discovery films

- Sony announced:

As of 31 December 2023, due to our content licensing arrangements with content providers, you will no longer be able to watch any of your previously purchased Discovery content and the content will be removed from your video library.

We sincerely thank you for your continued support.

Thank you,

PlayStation Store

- It sparked online backlash and concerns around ownership of digital media

California's law AB 2426 – Sale & advertising of digital goods

Companies must clearly inform consumers when accessing digital games, movies, music, or e-books that such access can be revoked.

They are prohibited from using terms like "buy" or "purchase" to imply unrestricted ownership of digital goods unless specific conditions are met.

Consumers must acknowledge understanding that they are receiving a license to access the digital good, with the associated restrictions.

Steam vs GoG – To DRM, or not to DRM



Value of information in e-commerce

- Comprehensive product information improves the shopping experience.
- Detailed descriptions and reviews empower confident purchasing choices.
- + • Transparency fosters trust and encourages customer engagement.
- Clear shipping and return policies alleviate customer concerns.
- Data insights enable personalized marketing efforts that resonate with customers.
- Excessive information can overwhelm and confuse customers.
- Inaccurate information can damage reputation and lead to dissatisfaction.
- Data collection may raise privacy issues, deterring customer engagement.
- High levels of information can set unrealistic customer expectations.
- Maintaining accurate information requires significant time and resources.

Access to broad information

The screenshot shows the Skiresort.info website. The header includes the logo, a search bar, and navigation links. The main content area features a banner for San Martino di Castrozza with a 5% discount on online skipass. Below this, there's a section for weather and accommodation for Bialy Jar - Karpacz. The weather forecast table shows conditions for the next seven days.

Weather at the ski resort ski/mountain weather	Wed 18 Dec	Thu 19 Dec	Fri 20 Dec	Sat 21 Dec	Sun 22 Dec	Mon 23 Dec	Tue 24 Dec
Mtn. 798m							
1 AM							
4 AM							
7 AM							
10 AM							
1 PM							

THE BIGGEST TOURIST TRAPS
WORLDWIDE

Fisherman's Wharf in San Francisco is the biggest tourist trap in the world, counting 1,049 mentions of 'tourist trap' in publicly available online travelers' reviews. An SFGate article once called this waterfront neighborhood "overcrowded with tourists, tacky souvenirs and overpriced food that isn't good." Next up is Las Ramblas, a boulevard in Barcelona (793 mentions), and Hawaii's Dole Plantation (708 mentions).

"TOURIST TRAP" MENTIONS IN TRAVELERS' REVIEWS

Rank	Location	Mentions
1	FISHERMAN'S WHARF, San Francisco, CA, USA	1,049
2	LAS RAMBLAS, Barcelona, Spain	793
3	DOLE PLANTATION, Wahiawa, HI, USA	708
4	TEMPLE BAR, Dublin, Ireland (Rep.)	673
5	BLUE LAGOON, Grindavik, Iceland	669
6	CHECKPOINT CHARLIE, Berlin, Germany	664
7	TIMES SQUARE, New York City, NY, USA	661
8	CAFE DU MONDE, New Orleans, LA, USA	643
9	HOFBRAUHAUS, Munich, Germany	522
10	GUINNESS STOREHOUSE, Dublin, Ireland (Rep.)	516

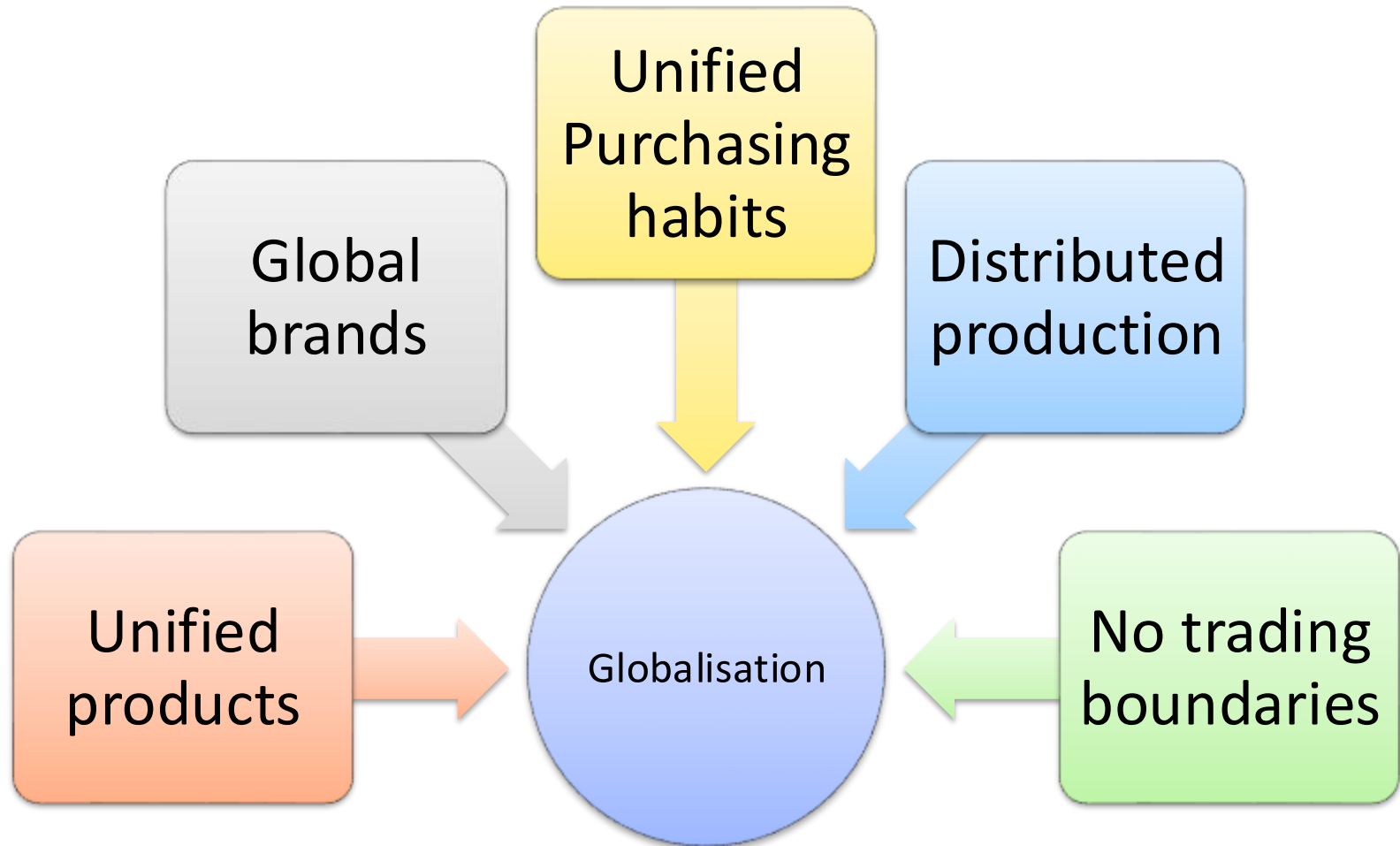
Methodology: We searched the phrase "tourist trap" on TripAdvisor with no location restrictions and the worldwide all actions/prices with the highest number of mentions of "tourist trap" in the results.

Disclaimer: TripAdvisor has no association with the findings of this study.

Casago

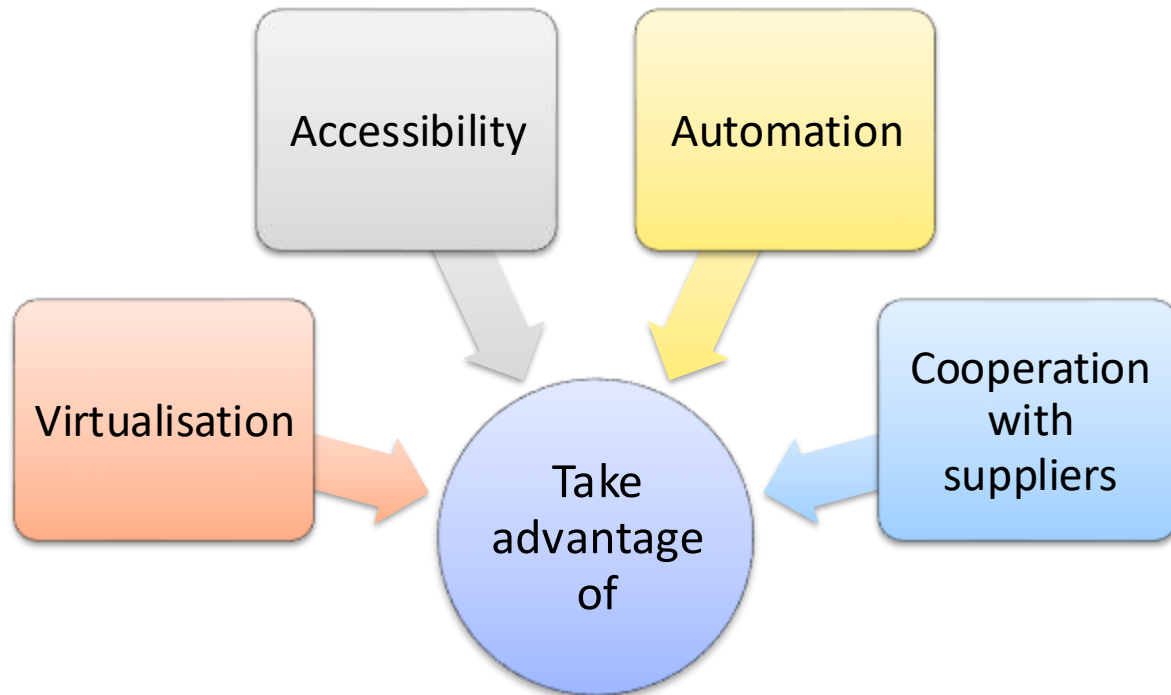
GLOBAL MARKET – GLOBAL ISSUES

Outcome of Globalisation



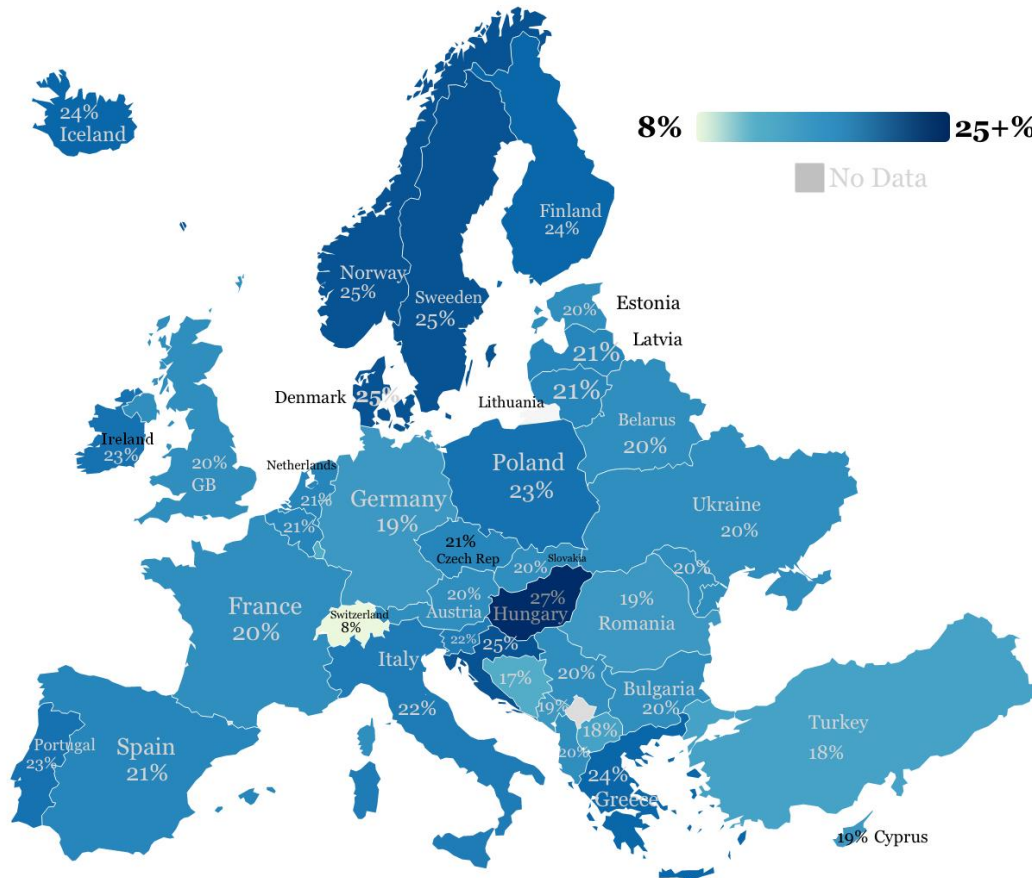
Globalisation & E-commerce

- E-commerce is a natural environment for globalisation processes
- More competing companies
- More possible customers
- See right for selected positive e-commerce factors

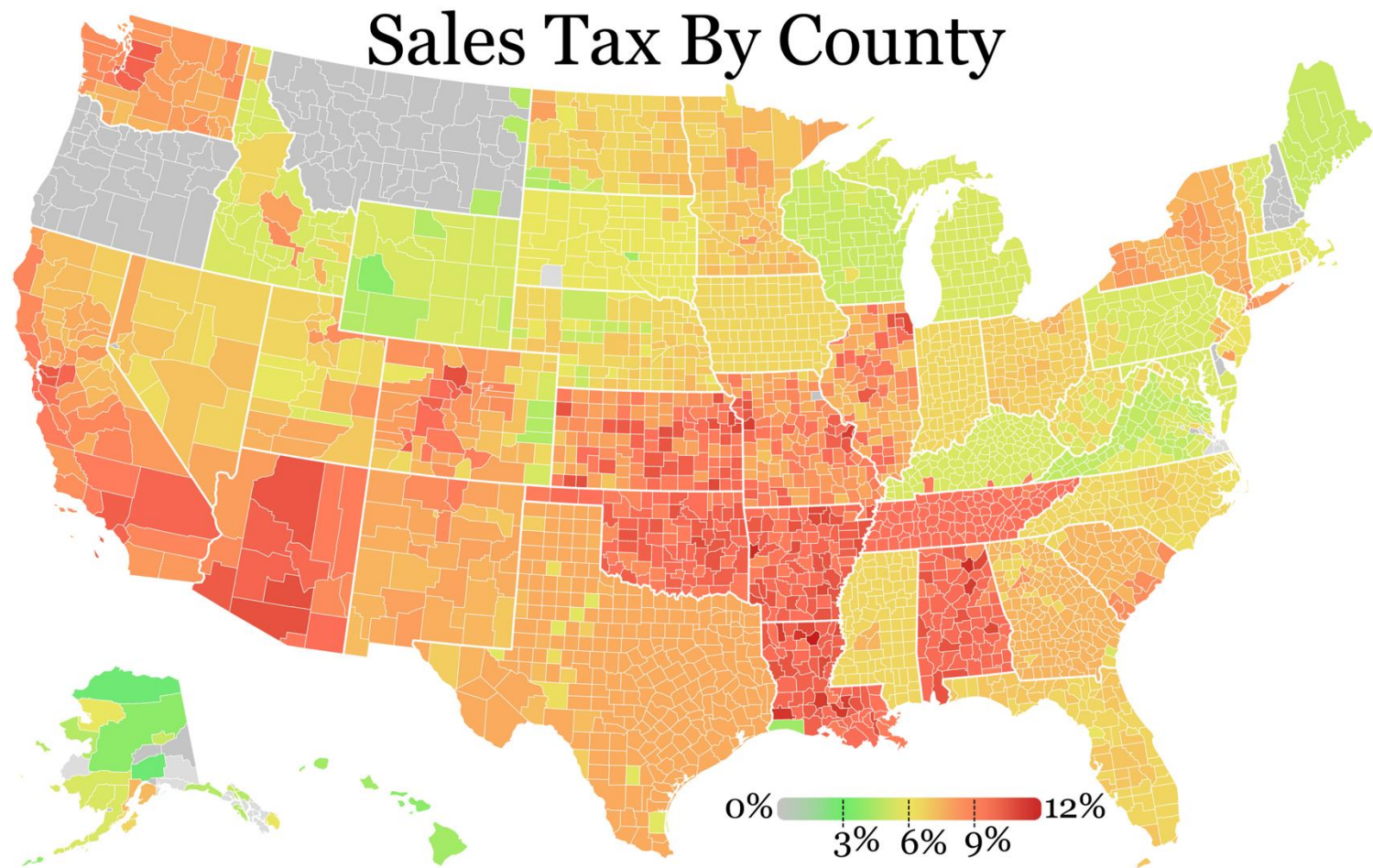


Taxiation

Europe VAT Tax Rates



Taxation



Forbidden items – Examples (UK)

Zombie-style knives and machetes have this week (24 September) been added to the list of prohibited weapons in the Criminal Justice Act 1988 as the government cracks down on dangerous weapons with no legitimate purpose.



‘Zombie-style’ is the street name given to weapons which are over 8 inches in length and often have a serrated edge, spikes or more than 2 sharp points.



Forbidden items – Examples

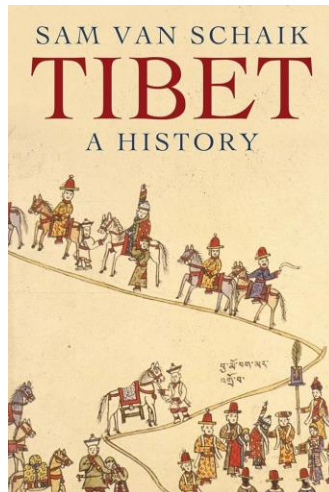
Germany



Saudi Arabia



China



India



Returns #1

European Union (EU)

- Consumers have a 14-day period to cancel their purchase for any reason, starting from the day they receive the goods.
- Sellers must issue a full refund, including standard shipping costs, within 14 days of receiving the returned item.
- Certain items, such as personalized goods or sealed items that have been opened, may not be eligible for return.

United States

- There is no federal law requiring returns, so policies vary by retailer.
- Many retailers offer flexible return policies, often ranging from 30 to 90 days, but this is at the discretion of the seller.
- Some retailers may charge restocking fees for returned items.

United Kingdom

- Similar to the EU, consumers have a 14-day right to cancel online purchases.
- Full refunds must be processed within 14 days of the return.
- Certain items, like perishable goods or sealed items that have been opened, may not be returnable.

Returns #2

Canada

- Return rights can vary by province, with some having specific consumer protection laws.
- Many retailers offer a 30-day return policy, but this is not mandated by law.
- Some retailers may impose restocking fees.

Australia

- Consumers have the right to a refund, repair, or replacement for faulty goods, but there is no general right to return for change of mind.
- Many retailers offer their own return policies, often allowing returns within a specified period (e.g., 30 days).

Japan

- There is no legal requirement for returns unless the product is defective.
- Many retailers may offer return policies, but these are not standardized.

China

- Consumers have a right to return goods within seven days of receipt for most purchases.
- Certain items, such as custom-made products or perishables, may not be returnable.

Warranty

European Union (EU)

- Consumers are entitled to a minimum two-year warranty for new goods, which covers defects that existed at the time of delivery.
- If a product is found to be defective, consumers can request a repair or replacement at no cost. If this is not possible, they may be entitled to a price reduction or a full refund.
- This directive ensures that consumers are informed about their rights and that they can easily exercise them.

United Kingdom

- Consumers have a right to goods that are of satisfactory quality and fit for purpose for a minimum of six years (five years in Scotland) - or reasonable lifespan for the product (if shorter).
- If a product is faulty, consumers can request a repair, replacement, or refund, depending on the circumstances and timing of the complaint.
- Retailers may offer extended warranties, but these are not mandatory.

United States

- There is no federal law mandating warranties, so warranty policies vary by manufacturer and retailer.
- Most states have laws that provide for implied warranties of merchantability and fitness for a particular purpose, which can cover defects.
- Manufacturers may offer express warranties that outline specific terms and conditions for coverage.

Sanctions

Iran

- The U.S. has imposed comprehensive sanctions on Iran, prohibiting American companies from engaging in e-commerce with Iranian entities. UN too.

North Korea

- U.S. sanctions against North Korea prohibit any trade, including e-commerce, with North Korean individuals and entities. UN too.

Russia

- Following the invasion of Ukraine, the U.S. imposed sanctions on various Russian individuals and entities, restricting American companies from engaging in e-commerce transactions with them. This includes bans on exporting certain goods and services.

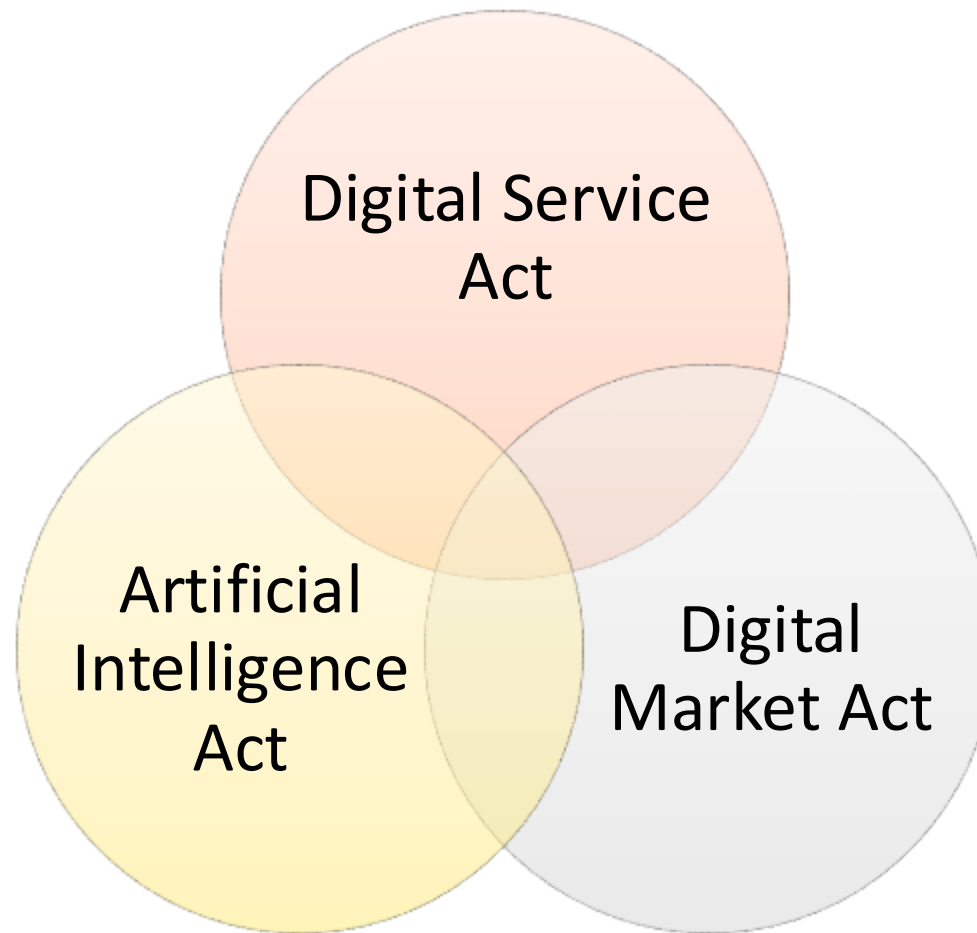
Syria

- The EU has imposed sanctions on Syria, which include restrictions on trade and e-commerce with the Syrian government and certain individuals.

Belarus

- The EU has implemented sanctions against Belarus in response to human rights violations and the political situation in the country. These sanctions restrict trade and e-commerce with specific Belarusian entities and individuals.

New “digital” legal acts (EU)



Digital Service Act (DSA – EU)

- The DSA aims to create a safer online environment, enhance user protection, and ensure accountability for digital platforms.
- It applies to a wide range of digital services, including online platforms, social media, search engines, and hosting services.
- Platforms must implement transparent content moderation policies, take action against illegal content, and provide users with the ability to appeal moderation decisions.

Digital Service Act (DSA – EU)

- Platforms are required to disclose information about their algorithms, including content recommendations and targeted advertising practices.
- The DSA enhances user rights by ensuring easy reporting of illegal content and access to clear information about rights and processes.
- Very large online platforms (VLOPs) must conduct risk assessments regarding the dissemination of illegal content and implement measures to mitigate identified risks.
- National authorities in EU member states will enforce the DSA, with the power to investigate and impose fines for non-compliance.

Digital Markets Act (DMA – EU)

- The DMA aims to ensure fair competition in the digital market by regulating the practices of large online platforms known as "gatekeepers."
- A gatekeeper is defined as a large online platform that significantly impacts the market, serves as a crucial gateway for businesses to reach consumers, and holds a strong economic position.
- The DMA prohibits gatekeepers from engaging in unfair practices, such as self-preferencing their own services over those of competitors.

Digital Markets Act (DMA – EU)

- Gatekeepers are required to comply with specific obligations, including providing access to data generated by their services and allowing interoperability with third-party applications.
- The European Commission is responsible for enforcing the DMA, with the authority to investigate compliance and impose fines.
- The DMA includes provisions for assessing the impact of gatekeepers on competition and innovation, allowing for regulatory adjustments as necessary.

Artificial Intelligence Act (AIA - EU)

- The AI Act aims to establish a comprehensive regulatory framework for artificial intelligence in the European Union to ensure safety and fundamental rights.
- The Act categorizes AI systems into four risk levels—unacceptable, high, limited, and minimal—each subject to different regulatory requirements.

Artificial Intelligence Act (AIA - EU)

- The Act mandates that users of AI systems must be informed when they are interacting with AI, particularly in cases of deep fakes or AI-generated content.
- The Act establishes a governance framework, including national supervisory authorities and a European AI Board, to oversee compliance and enforcement.

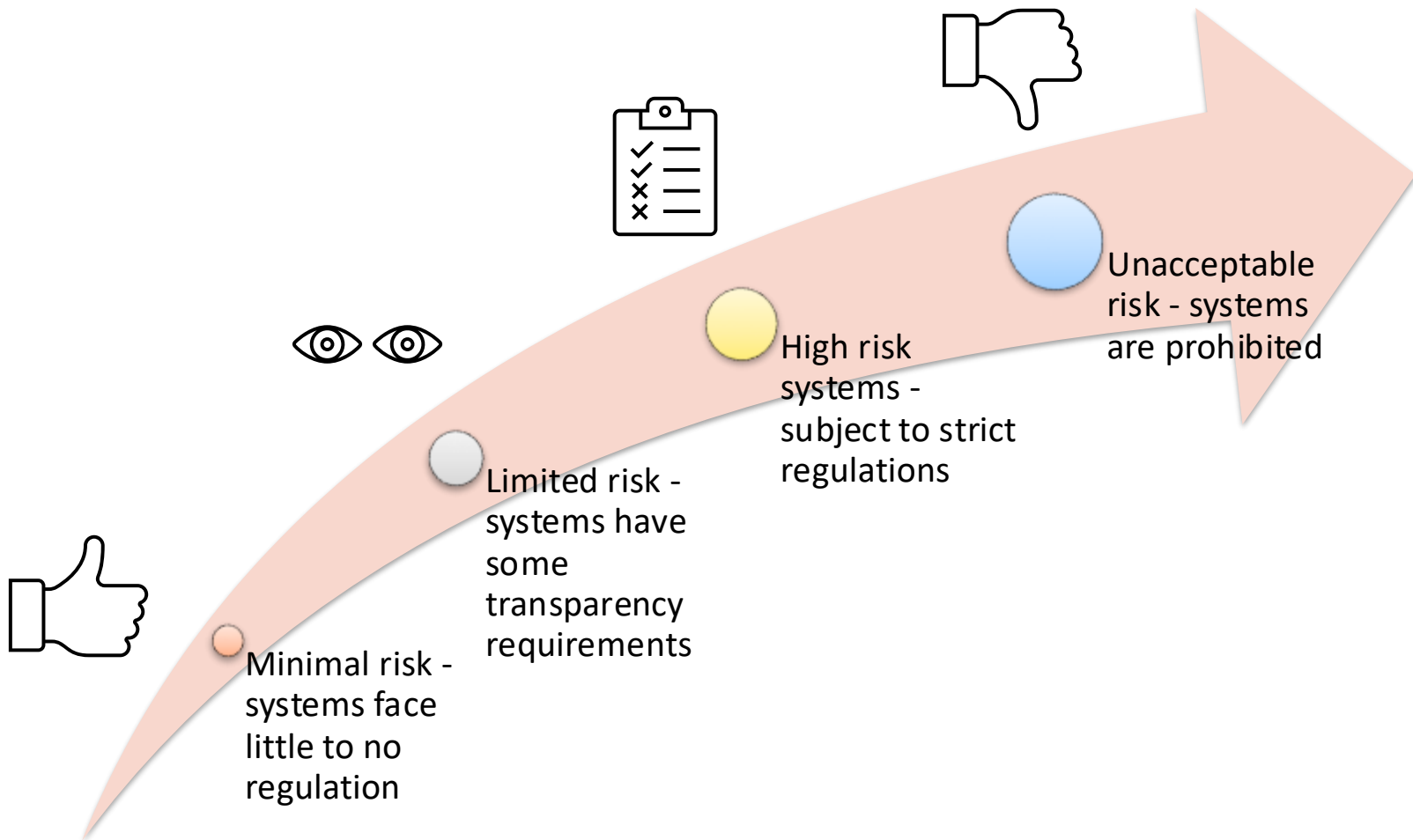
Artificial Intelligence Act (AIA - EU)

- The AI Act encourages innovation by providing regulatory sandboxes for testing AI technologies in a controlled environment while ensuring compliance with safety standards.
- The Act promotes international cooperation and alignment with global standards to address the challenges posed by AI technologies effectively.

AIA – Risk levels

RISK LEVEL	DEFINITION	EXAMPLES	REGULATION
Unacceptable Risk	AI systems that pose a clear threat to safety, fundamental rights, or societal values.	Social scoring by governments, real-time biometric identification in public spaces.	Prohibited outright; cannot be developed, deployed, or used within the EU.
High Risk	AI systems with significant implications for safety and fundamental rights, requiring strict compliance.	AI in healthcare (diagnostic tools), transportation (autonomous vehicles), employment (recruitment tools).	Subject to rigorous assessments, including risk management, data governance, transparency, and human oversight.
Limited Risk	AI systems that pose a lower risk to users and society, requiring fewer regulatory obligations.	Chatbots, AI-driven customer service tools, recommendation systems.	Subject to some transparency requirements, such as informing users they are interacting with AI, but not as stringent as high-risk systems.
Minimal Risk	AI systems that pose a very low risk to users and society, with minimal or no regulatory requirements.	Spam filters, basic data analysis tools, non-critical AI applications.	Largely unregulated, as they are considered to have negligible impact on users or society.

Progression of risk



Summary

- Planning successful e-commerce venture it is essential to understand its business principles
- The key element - understand your customers
- Customers generate value for company
- Remember about e-gaming (and other types of e-entertainment), and its links with EC
- EC companies function within legal boundaries
- These vary across different countries

TILL NEXT LECTURE